

Productive efficiency	Productivity	• explain what is meant by productivity • calculate measures of productivity • evaluate the impact and importance of productivity to a business and its stakeholders • recommend and justify methods to improve productivity in a business.
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Area of Study	Content	Learners should be able to:
Productive efficiency	Economies and diseconomies of scale	• explain what is meant by economies of scale and diseconomies of scale; internal and external • explain types of internal economies of scale, internal diseconomies of scale, external economies of scale and external diseconomies of scale • evaluate the costs and benefits to a business from internal and external economies and diseconomies of scale.
	Capacity utilisation and management	• explain what is meant by capacity utilisation • explain what is meant by capacity management • calculate, interpret and analyse capacity utilisation • evaluate the impact and importance of capacity utilisation to a business and its stakeholders • evaluate the impact and importance of capacity management to a business and its stakeholders • recommend and justify ways in which a business may change its capacity • recommend and justify ways in which a business may improve its capacity management.
	Stock control	• explain what is meant by stock control • explain methods of stock control: including stock control charts, just in time (JIT), kanban, fixed reorder stock level, fixed time reordering, economic order quantity and electronic methods of stock control • construct, calculate and interpret stock control charts: buffer stock, reorder level and quantities and lead time • evaluate the impact and importance of holding and controlling stock to a business and its stakeholders • evaluate the relationship between stock control and methods of production in a business.
	Lean production	• explain what is meant by lean production • explain how and why lean production is used by a business • evaluate the impact and importance of lean production to a business and its stakeholders • recommend and justify methods of lean production for a business.

Area of Study	Content	Learners should be able to:
Productive efficiency	Technology	• explain how technology can be applied to the operations of a business • evaluate the impact and importance of technology to the operations of a business • evaluate the impact and importance of technology to the stakeholders of a business.